

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

**COMPLAINANTS' BRIEF IN SUPPORT OF
THEIR EXCEPTIONS TO INITIAL DECISION ON REMAND**

Complainants CROCUS INVESTMENTS, LLC and CROCUS, FZE, by and through their Counsel, Marcus A. Nussbaum, Esq., pursuant to Rule 227 of the Federal Maritime Commission's ("FMC" or "Commission") Rules of Practice and Procedure, 46 C.F.R. § 502.227, submits the following Brief and Exceptions to the Initial Decision on Remand issued in this proceeding by the Presiding Officer and Chief Administrative Law Judge Erin M. Wirth, on December 9, 2020.

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I. INTRODUCTION

On May 27, 2015, Complainants Crocus Investments, LLC (“Crocus Investments”) and Crocus, FZE (collectively “Crocus”) commenced this proceeding by filing a complaint alleging that Respondents Marine Transport Logistics, Inc. (“MTL” or “Marine Transport”) and Aleksandr Solovyev a/k/a Royal Finance Group, Inc. (“RFG”), violated section 41102(c) of the Shipping Act of 1984 (“Shipping Act” or “Act”) with regard to three pleasure boats (to wit: a 2008 Chaparral boat; a 2011 Monterey 204 boat; and a 2010 Formula 34PC boat, for which respondents undertook responsibility for the international transportation by water).

On June 17, 2016, an Initial Decision (the “ID”) dismissed the claims regarding all three boats and found with regard to the 2010 Formula (the “Formula”) “that the third boat never left the United States; therefore, the third boat never entered into international commerce, the Shipping Act does not apply, and the Commission does not have jurisdiction to resolve disputes regarding its handling.” ID at 1-2. On March 13, 2017, the complainants filed their Brief and Appendix in Support of Their Exceptions to the Initial Decision (Document Nos.: 45-46). On July 16, 2019, the Commission vacated and remanded the 41102(c) claim regarding the storage or other arrangements for the third boat, the Formula, and affirmed the initial decision in all other respects. Memorandum Opinion and Order (“Commission Order”) at 22.

On December 9, 2020, the Presiding Officer and Chief Administrative Law Judge issued an Initial Decision on Remand (“ID on Remand”), and dismissed the complainants claims with regard to the Formula on the basis that complainants failed to meet their burden to demonstrate that the unjust and unreasonable acts by MTL occurred on a normal, customary, and continuous basis, a prerequisite for a successful claim for reparations under the section 41102(c) interpretive rule. 46 C.F.R. § 545.4; Final Rule, 83 Fed. Reg. at 64479.

With regard to complainants' section 41102(c) claim and the elements that complainants were required to establish in order to prevail on that claim, the ID on Remand explained that: a) MTL acted as an NVOCC – a type of ocean transportation intermediary – for the Formula boat, a required element to demonstrate a section 41102(c) violation; b) Complainants failed to meet their burden to demonstrate that the unjust and unreasonable acts by MTL occurred on a normal, customary, and continuous basis, a prerequisite for a successful claim for reparations under the section 41102(c) interpretive rule. 46 C.F.R. § 545.4; Final Rule, 83 Fed. Reg. at 64479; c) the evidence shows that the alleged violation was connected to receiving, handling, storing, or delivering property; d) while MTL was not expected to store the Formula boat for free, the record supports a finding that the \$105.31 per day charge, imposed without notice after a year, is unreasonable; and e) the failure to deliver the Formula boat and the storage charges assessed were the proximate cause of the loss claimed by Crocus.

In doing so, the Presiding Officer overlooked respondents' repeated violations of the Shipping Act during the course of their business dealings with complainants and the ongoing nature of some of these violations, together with the facts that demonstrate that these violations occurred on a normal, customary, and continuous basis. Accordingly, it is respectfully submitted that allowing the ID on Remand to stand would effectively sanction respondents' actions and allow the respondents to continue to engage in their *modus operandi* of defrauding innocent shippers.

Complainants respectfully direct the Commission's attention to respondents' normal, customary and continuous practice (while dealing with complainants herein, and others) of MTL's refusal and failure at all relevant times to: a) follow the instructions of complainants regarding export of the Formula (even though MTL claims to have allegedly purchased the trailer for the Formula in or about November of 2013); b) provide complainants with a Bill of

Sale for the Formula; c) procure and provide a Certificate of Title for the Formula (which MTL was responsible for doing inasmuch as it sold the Formula to complainants for export); d) provide statements of account to complainants; e) communicate with complainants regarding the balance of complainants' monies held in escrow as applicable to any alleged charges due and owing for the Formula; f) follow the rules and regulation as governed by MTL's own Tariff on the issue of storage charges allegedly due and owing for the Formula; and g) fulfill their responsibility to procure and provide a Certificate of Title for the boat trailer for the Formula so that it could be exported.

Additionally, and as set forth below, the Presiding Officer completely overlooked MTL having been exposed on multiple occasions for: a) creating and presenting to its customer's falsified documents used for export, such as fake auto auction invoices and a fake Certificate of Title for the Formula; b) overbilling complainants for the purchase of the Formula and for inland delivery of the Formula to MTL's warehouse in preparation for export; c) overbilling complainants for the storage of the Monterey and Chaparral; and d) charging complainants and collecting monies from complainants for services which were never provided to complainants (including the purchase of the boat trailer for the Formula and "preparation of shipping documents") - - all of which occurred against the backdrop of respondent Solovyev's criminal history, of which this Commission has been fully briefed on multiple occasions. The foregoing begs the ultimate question as to when this pervasive and regular fraudulent activity falls within the definition of unjust and unreasonable acts occurring "...on a normal, customary, and continuous basis...".

II. RELEVANT PROCEDURAL HISTORY AND SUMMARY OF BASIS FOR EXCEPTIONS

On July 22, 2019, this proceeding was reassigned to the Presiding Officer and Chief Administrative Law Judge and a Remand Scheduling Order was issued. The remand scheduling Order stated in relevant part, as follows on the issue of remand briefs:

The briefs must be limited to the narrow issue remanded by the Commission – whether Respondents violated 46 U.S.C. § 41102(c) with respect to storage or other arrangements for the Formula boat from August 2013 to February 14, 2014. Commission Order at 2, 20-22, 26. The parties should address whether or not the Respondents were acting as ocean transportation intermediaries in handling the Formula boat during the relevant time period. Commission Order at 21. Parties should not brief issues affirmed by the Commission. Only the issue vacated and remanded will be decided.

The Remand Scheduling Order also stated in relevant part, as follows:

In their briefs, the parties should specifically address each of the elements of 46 U.S.C. § 41102(c) identified by the Commission in their December 17, 2018, final rule, which states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

On December 9, 2020, the Presiding Officer and Chief Administrative Law Judge issued an Initial Decision on Remand solely with regard to the subject Formula, explaining that although the Commission has jurisdiction over the claims related to the Formula, Complainants have not established by a preponderance of the evidence that MTL violated the Shipping Act

with respect to the boat. More specifically, and on the issue of jurisdiction, the ID on Remand explained that: a) MTL held itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; b) MTL assumed responsibility for the Formula boat when it accepted delivery of the boat in anticipation of shipping the Formula to Dubai; and c) from August 2013 to February 2014, MTL was acting as an ocean transportation intermediary, an NVOCC, for the Formula boat. For these reasons, the Presiding Officer held that MTL dealt with Safonov and Crocus and performed OTI activities for the Formula boat. Therefore, MTL was a regulated entity and the Commission has jurisdiction over this claim.

Put simply, it is respectfully submitted that the Presiding Officer, in error, missed the numerous examples on the record of MTL's unreasonable acts which occurred on a normal, customary, and continuous basis, and simply focused on one single aspect and which was, to wit: the storage of the Formula and MTL's failure to notify complainants that storage had accrued for over a year. This one single aspect of the shipping transaction was analyzed in a vacuum, resulting in an erroneous conclusion that there was an absence of unreasonable acts occurring on a normal, customary, and continuous basis.

As set forth below complainants direct the Commission's attention to the other examples that were not considered, such as the fact that MTL sold the Formula to complainants solely for export and during the course of that sale, MTL overcharged complainants for the sale of the boat (by creating a fake auto auction invoice purporting to indicate that MTL bought the boat at auction for more than it actually paid). Complainants also present below the fact that MTL charged complainants \$5000.00 for other related costs for the Formula (\$4500 for a boat trailer which Solovyev said was needed in order to export the Formula, and which MTL never purchased, and \$500 for the preparation of "shipping documents" which MTL never prepared).

At all times, MTL never provided complainants with a statement of account for these monies. As explained below, when MTL collected monies from complainants from complainants for ***a second time for the trailer for the Formula***, MTL did not provide a statement of account nor did it inform complainants what happened to the \$4500.00 previously collected for the Formula. At the time that complainants instructed MTL to release the Formula (which MTL refused to do), MTL failed at that time to provide complainants with a statement of account, and rather, for the first time in over a year, MTL provided complainants with a bill for 369 days of storage. All of the foregoing begs the ultimate question, is this not unreasonable behavior occurring on a customary and continuous basis?

As explained below, and despite MTL having sold the Formula to complainants and despite Solovyev having advised that it could not be exported because of the need for a suitable trailer, MTL ***did nothing aside from collecting monies twice for the trailer***. MTL never obtained title for the trailer and never obtained title for the Formula so that it could be exported. Rather, MTL simply allowed the Formula to sit in storage and allow charges to accrue. Is this not unreasonable behavior occurring on a customary and continuous basis? As explained below, pursuant to MTL's own tariff for storage, complainants were entitled to thirty (30) days of free storage in order to allow time to provide the Carrier with the vehicle title (which respondents never obtained). After that, and pursuant to MTL's tariff, complainants were entitled to retrieve the Formula from MTL's storage lot, and it is undisputed that MTL refused to release the Formula. Accordingly, due to MTL's failure to obtain title to the Formula and further due to MTL's failure to release the Formula to complainants, under MTL's tariff, complainants are not responsible to pay any storage charges whatsoever.

As explained below, for all of these reasons and others, and since complainants satisfied all elements of their section 41102(c) claim, these Exceptions primarily focus on the Presiding Officer having, in error, determined that Complainants failed to meet their burden to demonstrate that the unjust and unreasonable acts by MTL occurred on a normal, customary, and continuous basis.

These Exceptions additionally focus on the Presiding Officer's error on the issue of complainants' loss as proximately caused by respondents' violation of 46 U.S.C. § 41102(c). While the Presiding Officer limited this loss to the amount paid for the Formula boat (\$59,780.00) and its trailer (\$4950.00), as explained below the Presiding Officer overlooked the additional damages proximately caused by respondents' violation of 46 U.S.C. § 41102(c), including: 1) the sum of \$5000.00 for other related costs for the Formula (consisting of \$4500.00 for a boat trailer which Solovyev said was needed in order to export the Formula, and which MTL never purchased, and \$500.00 for the preparation of "shipping documents" which MTL never prepared); 2) respondents' overcharges to complainants for inland delivery of the Formula in the sum of \$1270.00; 3) the sum of \$15,207.00 in monies belonging to complainants and held by MTL in escrow for ocean freight (which MTL never returned and never provided a statement of account indicating the disposition of same); and 4) the sum of \$8,400 which RFG paid to MTL on behalf of complainants by check No.: 5135 on August 15, 2013 (specifically, on August 7, 2013 RFG invoiced the sum of \$12,000 for loading/shipping the Formula to Dubai by invoice 1189AT, as well as \$500 for the preparation of "Shipping Documents" and subsequent to the issuance of the invoice, RFG paid MTL the sum of \$8,400 by check number 5135, and that the Memo line on the check reads as follows: "Andrey/Dubai").

III. ARGUMENT

A. THE ALJ ERRONEOUSLY DETERMINED THAT COMPLAINANTS FAILED TO MEET THEIR BURDEN TO DEMONSTRATE THAT THE UNJUST AND UNREASONABLE ACTS BY MTL OCCURRED ON A NORMAL, CUSTOMARY, AND CONTINUOUS BASIS

Relevant Findings of Fact from Initial Decision on Remand

- “The Formula boat was purchased and transported to the World Express warehouse, owned by Solovyev, for storage. See CX 256.” **(ID on Remand at FF#49)**
- “MTL issued an invoice to RFG for storage charges in the amount of \$39,409.93. Remand Brief at App. H.” **(ID on Remand at FF#50)**
- “RFG issued an invoice to Crocus Investments totaling \$39,409.93 with \$38,859.39 for 369 days of storage of the Formula and \$550 for unloading from the trailer. The storage fee for the Formula boat was based on storage charges of \$105.31 per day (\$9.60 for 1 linear meter per day x 10.97 linear meters). CX 106 (duplicate at Remand Brief at App. G).” **(ID on Remand at FF#51)**
- “The daily storage charged by RFG for MTL exceed the storage charges listed in MTL’s tariff for boats received for U.S. export shipment. See ALJFF 103, CX 106.” **(ID on Remand at FF#52)**
- “All payments by Complainants related to the Formula boat were made to RFG, as the billing agent for Solovyev and MTL. See ALJFF 34, 80, 89.” **(ID on Remand at FF#53)**
- “MTL did not issue any shipping documents for transportation of the Formula boat to Dubai. See ALJFF 92, 96.” **(ID on Remand at FF#54)**

Additional Facts Pertaining to MTL’s Violation of Section 41102(c) of the Shipping Act

As the Commission may recall, complainants have argued that MTL’s failure to observe just and reasonable practices connected with the handling, storing, and delivering of cargo occurred on a normal, customary and continuous basis. The following facts are offered in order to demonstrate that MTL’s unreasonable behavior and practices, and the manner in which it conducted business was a norm for MTL, was customary, often repeated, systematic, uniform, habitual, and continuous:

A. Handling and Delivery of the Formula

MTL Purchased and Arranged for Inland Delivery of the Formula to its Warehouse in Preparation for Export and Failed to Observe Just and Reasonable Practices With Regard to This Shipment Related Activity

In the first instance, it should be noted that MTL delivered the Formula to its warehouse for export. While RFG paid Light House Transport \$2,230.00 for delivery of the Formula to MTL's warehouse, it invoiced complainants \$3,500 for the delivery. (See, Complainants' Remand Brief, dated September 27, 2019 at p.13, Fn. 7). The difference in payment and RFG's invoice (its overcharge to complainants) is \$1270.00. This is just one example of MTL either overcharged complainants, charged for services which it did not provide, and/or mishandled or otherwise misappropriated complainants' money.

Additionally, the following facts are offered on the issue of handling, storing, and delivery of the Formula:

- (1) The parties' regular course of conduct shows that complainants engaged **respondents** to perform OTI services for complainants, conditioned on complainants' purchase of the Formula in the United States for the sole purpose of MTL **shipping the boat to Dubai for repair and resale**; (See, ID at pp. 12, 16, FF# 28, 29, 75) - - we add here that it has been established that MTL was not only involved in shipping, but it was additionally in the business of selling automobiles and pleasure boats for the purpose of its clients engaging MTL to export said cargo after it was procured by MTL and delivered to its warehouse for export - - While there is no Vessel Bill of Sale on the record for the Formula, on the issue of the parties' course of conduct, it is an undisputed fact that the Formula was purchased from MTL/Soloveyv in the same manner as other boats purchased and exported by MTL which is why the Commissioners may refer to other Vessel Bills of Sale on this issue such as the Vessel Bills of Sale for the Chaparral and Monterey boats, as well as for the Four Winds boat (listed on the bill of sale as "Four Winds" which the Commission determined to be a "Four Winns" in its March 6, 2017 Memorandum Opinion and Order at p. 9) and Sea Ray boats purchased by complainants from MTL and Solovyev (bates numbered DEF0362 – DEF0365) were marked as Exhibit "14" during the deposition VADIM ALPER a/k/a DIMITRY ALPER who was the former General Counsel and Director of Operations of MTL (See, Appendix To Complainants' Status Report filed on November 1, 2018, as Appendix "D").

- (2) Complainants were charged for, and MTL arranged for inland transportation of the Formula from the auction warehouse where the Formula was purchased to the port of loading for the sum of \$3500.00¹ (See, ID. at pp. 16-17, FF# 77, 80).
- (3) With respect to the Formula, the ID relies upon the deposition testimony of Solovyev, and explains, starting on page “12” that Solovyev through RFG forwarded advanced payments on behalf of complainants to ‘CoPart’ (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies). This was allegedly done as a convenience to complainants so that complainants would only need to make a single “lump sum” wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (ID at p. 12, citing Dep. Tr. of [Aleksandr] Solovyev, at 45-17- 47:25). RFG, in turn, charged a commission to Complainants for its services. Id.
- (4) Similar to the parties’ relationship in Best Way USA, Inc. v. Marine Transport Logistics, (FMC Informal Docket No.: 1901[I]), respondent MTL (via Solovyev) assumed responsibility for transportation of complainants’ other boats to the point of delivery (See, Decision of Zoraya B. De La Cruz, dated January 24, 2012 in the matter of Bestway, *supra*, at p. 6). Respondent MTL booked the delivery of the other boats on a port-to-port basis, and was responsible for inland transportation to the point of delivery.

MTL never provided any Vessel Bill of sale for the Formula

On the issue of the parties’ course of conduct and MTL’s continued unjust and unreasonable practices, the following facts are offered regarding MTL’s failure to provide a Vessel Bill of Sale for the Formula:

- (1) While there is no Vessel Bill of Sale on the record for the Formula, on the issue of the parties’ course of conduct, it is an undisputed fact that the Formula was purchased from MTL/Soloveyv in the same manner as other boats purchased and exported by MTL (See, Fact [1] above on page “10” of this Brief).

¹ As to proof of respondents practice of overbilling complainants and inflating invoices for the Formula, the record shows that RFG paid Light House Transport \$2,230.00 via check no.: 5133 on August 14, 2013 (See, Appendix to Complainants' Second Petition to Reopen the Proceedings, Document 51 on this Docket filed on September 27, 2017, at Appendix “D”, bates no. DEF0683). It appears that the Office of the Secretary did not upload the full Appendix to the Docket, which can be provided to the Presiding Officer upon request. Copies of check no.: 5133 and cover email to the Office of the Secretary with the Appendix are annexed to Complainants’ Remand Brief of September 27, 2019 as Appendix “B”. While RFG paid Light House Transport \$2,230.00 for delivery, it invoiced complainants \$3,500 for the delivery.

- (2) It has been established that MTL did not only provide NVOCC services, but it was additionally in the business of selling automobiles and pleasure boats for the purpose of its clients engaging MTL to export said cargo after it was procured by MTL and delivered to its warehouse for export. (See, The Vessel Bills of Sale for the Chaparral and Monterey boats, as well as for the Four Winds boat (listed on the bill of sale as “Four Winds” which the Commission determined to be a “Four Winns” in its March 6, 2017 Memorandum Opinion and Order at p. 9) and Sea Ray boats purchased by complainants from MTL and Solovyev (bates numbered DEF0362 – DEF0365) were marked as Exhibit “14” during Mr. Alper’s deposition, annexed as Appendix “D” to Appendix To Complainants’ Status Report filed on November 1, 2018).
- (3) Mr. Alper authenticated the Vessel Bills of Sale for the Chaparral and Monterey boats and acknowledged that the bills of sale (which list MTL as “seller” and Solovyev as “General Manager” of MTL) were signed by Solovyev as “General Manager” and were notarized by Alper. (See, Appendix To Complainants’ Status Report filed on November 1, 2018 at Appendix “A”, p. 91/ln. 22-24; p. 92/ln. 1-19; p. 93/ln. 14-21).
- (4) The Vessel Bills of sale were authenticated by Mr. Alper and that they continued to list MTL as seller of the vessels as testified to by Mr. Alper:

Q. And who's the seller of these?

A. The seller was Marine Transport Logistics.

See, Appendix To Complainants’ Status Report filed on November 1, 2018 at Appendix “A”, p. 92/ln. 17-19).

Complainants Paid for the Formula and for the Boat Trailer for the Formula but MTL Never Provided Title for Formula and Never Provided Title for the Boat Trailer Which Were Required for Export from the United States to a Port Abroad

- (1) On July 7, 2017, the helpdesk of the New York office of U.S. Customs and Border protection advised that: “Under 19 CFR 192.2, export validation requirements do not apply to watercraft, including jet skis and boats. The trailer however is considered a self-propelled vehicle and is subject to title validation at the CBP Car Desk” (See, Complainant's Certification of Marcus A. Nussbaum at ¶ 6 and Appendix “A” thereto, filed on the Docket on April 30, 2019 as Document 71).
- (2) Mr. Alper testified regarding: MTL’s knowledge regarding the requirement that U.S. Customs officials must validate the Certificate of Title for a boat trailer prior to export (in the same manner that automobiles cannot be loaded onboard an ocean liner without having their Certificates of Title validated by U.S. Customs), explaining as follows: “...in order to ship a boat trailer or a boat on a trailer, a title is required due to the fact that U.S. Customs classifies boat trailers in the same manner as self-propelled vehicles. In the event that a boat on a trailer is being

shipped, U.S. Customs would validate the title for the trailer.” (See, Transcript of the Deposition of Dimitry Alper of January 31, 2018, discussed herein, in Appendix To Complainants’ Status Report, filed on November 1, 2018 at Appendix “A” thereto, at transcript p. 22/ln. 12-25; p. 23/ln. 1-16).

- (3) Specifically, and as explained in the Complainants’ Additional Proposed Findings of Fact Brief filed in this Docket as Document No.: 51 on September 27, 2017, at pp. 11-12, the New York State Department of Motor Vehicles (“DMV”) Salvage Certificate for the Formula that was produced by respondents during discovery (marked as “RESP 027” in Appendix “E” thereof) is fake and does not match with DMV records. (See also, Complainants’ Second Petition to Reopen the Proceedings filed as Document # 50, on this Docket on September 27, 2017, at pp. 4, 17).
- (4) Car Express never obtained a Certificate of Title for the Formula. (See, DMV Response to Freedom of Information Law Request, in Document # 50 on this Docket, filed on September 27, 2017 at Appendix “B”, at page Bates no.: DEF0499).
- (5) There is no record of respondents producing a Certificate of Title for the trailer for the Formula.
- (6) Annexed to the Appendix To Complainants’ Status Report filed on 11/1/2018 as Appendix “H” is a copy of a Certification signed by Alla Solovyeva and Aleksandr Solovyev (with a cover email from their counsel on 9/21/2018) certifying that after a complete and thorough search, that no additional responsive documents exist, “other than what was already provided to date”.
- (7) Respondents admit that they are not in possession of the Certificate of Title. (See, Appendix to Complainants’ Status Report filed on November 1, 2018, at Appendix “B”, at paragraph “12” on page “2”.)
- (8) Said Salvage Certificate for the Formula which is referenced above lists Car Express as the purchaser and is signed by Solovyev, and also indicates that the Formula was acquired from VW Parts, Inc. The certificate is dated April 28, 2015. (See, Appendix “E” to Complainants’ Additional Proposed Findings of Fact Brief filed in this Docket as Document No.: 51 on September 27, 2017).

It was MTL’s Normal, Customary and Continuous Practice to Charge Commissions Which Included Commissions for Loading and Shipping the Formula to Dubai and Commissions for Exports Other Than the Formula:

- (1) Complainants were charged \$12,000.00 for loading/shipping the Formula to Dubai (See, ID at p. 16, FF# 79).
- (2) As the parties regular course of conduct included MTL charging commissions for arranging for the shipment of complainants’ other boats, the sum of \$12,000.00 included monies for a commission which MTL charged for arranging

for the shipment of complainants' cargo with the ocean liner. Solovyev testified that he did not know how much commission was charged. (See, Deposition of Aleksandr Solovyev contained within Respondents' Appendix filed in this matter on February 11, 2016, Document No.: 15, at page bates numbered RX41, transcript p. 54/ln. 4-18).

- (3) Respondents admitted that Solovyev through RFG forwarded payments he had collected from Complainants for MTL's shipping services regarding the two other boats (to wit: the Monterey and Chaparral) which were at issue in this matter. Specifically, as to the Monterey, the record demonstrates that RFG charged complainants the sum of \$2,400 for loading/shipping to Dubai (See, ID at p. 14, FF# 45) but MTL received the total sum of \$3,441.00 for this shipment (See Document # 51, Appendix "H"). During the course of these proceedings, RFG produced a copy of a check written to MTL in the sum of \$3,441.00 bearing notation "83038" which respondents explained in their Reply to Complainants' Second Petition to Reopen Proceedings, that: "...the RFG check is and was what it was represented to be: a payment made to MTL for ocean freight for the export of the Monterey Boat.(See Document 53 on this docket at p.11).
- (4) As the parties regular course of conduct included MTL charging commissions for arranging for the shipment of complainants' other boats, the sum of \$3,441.00 included monies for a commission which MTL charged for arranging for the shipment of complainants' cargo with the ocean liner. (See, Additional Proposed Finding of Fact #30 above).
- (5) As to the Chaparral, RFG charged complainants \$2,400 for loading/shipping to Dubai (See, ID at p. 14, FF# 52) but MTL admitted that RFG check no. 5111, in the amount of \$6,025.00 produced in this matter was payment applied to "US to Dubai" export of the Chaparral boat. (See, Document 53 on this Docket, at p.14).
- (6) As the parties regular course of conduct included MTL charging commissions for arranging for the shipment of complainants' other boats, the sum of \$6,025.00 included monies for a commission which MTL charged for arranging for the shipment of complainants' cargo with the ocean liner. (See, Additional Proposed Finding of Fact #32 above).

It was MTL's Normal, Customary and Continuous Practice to Regularly Create and Manufacture Falsified Documents Related to the Various Export Transactions Which MTL Undertook to perform, including but not Limited Bills of Sale, Invoices and Certificates of Title and Use them for the Preparation of Shipping Documents

As explained herein and below, MTL created falsified Bills of Sale/Auto Auction Invoices (purporting to be from auto auction known as "Copart") and Certificates of Title for the Formula, provided complainants with a false Vehicle Identification Number ("VIN") for the boat

trailer for the Formula, and created and provided falsified Bills of Sale and Auto Auction Invoices from Copart for the Monterey and Chaparral. MTL also created falsified Bills of Sale and Auto Auction Invoices from Copart for a Mercedes and Porsche which MTL exported to complainants in Dubai. These falsified documents which MTL created were then used by MTL for the preparation of shipping documents, including Shipper's Export Declarations which MTL filed with the U.S. Customs and Border Protection, the Foreign Trade Division of the Bureau of the Census (Commerce), other federal agencies and the export trade community.

As to respondents' regular, customary, and continuous practice of creating false documents used to defraud its customers and then using these false documents for the preparation of shipping documents which MTL presented to CBP and other export regimes, these findings of fact were set forth in Complainants' Remand Brief. Specifically, as to the fake Copart auto auction invoice which respondents used to overcharge complainants for the sale for the Formula to them the Commission is respectfully directed to FF# 53-54 on page "26" and page "55" of Complainants' Remand Brief. As to the fact that complainants have established that the VIN for the boat trailer for the Formula is 'non-existent' pursuant to Federal Regulations that govern the requirements for VIN numbers, the Commission is respectfully directed to FF# 59-61 on page "27" and pages 53-54 of Complainants' Remand Brief. Specifically, as to the fake Copart auto auction invoices for the Chaparral, Mercedes and Porsche, the Commission is respectfully directed to FF# 53-54 on page "26" and page "55" of Complainants' Remand Brief (specifically, Copart's response to a Subpoena attached to Complainants' Status Report of September 6, 2017 in the Matter of MAVL Capital Inc., et al, v. Marine Transport Logistics, et al, FMC Docket No.: 16-16), which confirms that MTL's Copart invoices for MTL's alleged purchase of the Monterey, Chaparral, Mercedes and Porsche are fake and not part of Copart's business records.

A final point on this issue is that in the absence of the Certificate of Title for the boat trailer for the Formula, and left simply with the fake Certificate of Title and invoice for the Formula itself which Solovyev provided to complainants, that MTL was unable to export the Formula by using these fake documents.

It was MTL's Normal, Customary and Continuous Practice to Regularly Collect Money for Services and Goods (Such as the Trailer for the Formula) Which Were not provided to Complainants:

In the first instance, it should be noted that complainants (Crocus FZE) wired \$5,000.00 to RFG for a trailer which MTL said was required in order to load the boat into a shipping container on August 13, 2013 (see Complaint 15-04; p. 4; ¶ 18). MTL never provided this trailer and never refunded the money which it collected for the trailer, nor did it refund the money which it collected for preparation of "shipping documents" related to the Formula. From this \$5000.00, MTL allegedly collected \$4500.00 for the purchase of the boat trailer and \$500.00 for the preparation of "shipping documents". (See, ID on Remand at FF#54 explaining that MTL did not issue any shipping documents). As set forth herein, Solovyev never provided the trailer and never obtained title to a trailer so that the Formula could be exported. The "shipping documents" were neither prepared nor provided to complainants. At no time, were complainants provided with a statement of account for these monies which would indicate how they were actually spent by MTL. When MTL collected monies from complainants for a second time for the purchase of the trailer for the Formula (which MTL failed to obtain) MTL continued to fail to provide a statement of account for these monies which would indicate what happened to the money which MTL collected.

More specifically:

- (1) On August 13, 2013, Crocus FZE made a wire transfer of \$5,000.00, Fed Wire Out 028409, Reference Number W028409 0813. (FF# 82, ID at p.17);

- (2) The wire of \$5000.00 reflected payment of \$4,500 for a trailer upon which the Formula boat would be secured and a \$500 shipping documentation charge. (See, Answer filed on July 10, 2015, FMC Docket 15-04, Document No.: 5 at ¶18);
- (3) MTL prepared shipping documentation at the time that the Formula was placed into respondents' custody and control for export, wherein respondents collected \$500 for preparation of "Shipping Documents" (See, Answer filed on July 10, 2015, FMC Docket 15-04, Document No.: 5 at ¶ 19 18); Respondents also recently admitted to the foregoing in their Response to Complainants' Statement of Material Facts in litigation ongoing in the U.S. District Court for the District of New Jersey captioned as World Express & Connection, Inc. v. Crocus Investments, LLC et al., U.S.D.C. – D.N.J. Docket No.: 2:15-cv-08126 – that Response is located on the Court's Docket as ECF 180, and the admission is set forth in paragraph "129" thereof. Copies of the Statement of Material Facts and the Response are annexed to Complainants' Remand Brief of September 27, 2019 as Appendix "C" and "D". MTL never exported the Formula and never prepared shipping documentation, and respondents failed to refund the \$500.00.
- (4) With regard to MTL's collection of the additional \$4500.00 for purchasing the trailer which MTL never bought, respondents failed to refund this money.

It was MTL's Normal, Customary and Continuous Practice to Fail to Follow the Rules of its Own Tariff

In the ID on Remand, at page "22", the Presiding Officer noted that while MTL is not expected to store the boat for free, the record supports a finding that the \$105.31per day charge, imposed without notice after a year, is unreasonable. However, pursuant to MTL's tariff, and due to the fact that MTL failed to present the Certificates of Titles for the Formula and boat trailer to the ocean liner (because MTL did not obtain the title in the first instance), after the first 30 days of free storage under the tariff, MTL was obligated to release the Formula to complainants, which it refused to do despite request having been made. Accordingly, due to MTL's failure to obtain title and failure to release the Formula to complainants, under the tariff, complainants are not responsible to pay any storage charges whatsoever.

- (1) "The evidence also shows that the tariff rate for storage of boats was \$20, which is significantly below the \$105.31per day charged to Crocus. ALJFFR 50-52. MTL's tariff states: "Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ . . . Boats: USD 20 per day."

ALJFF 103 (quoting CX 178). The Formula boat was received for export shipment. No justification is provided for the higher charge and there is no indication that Complainants were provided notice of the charge before receiving the storage bill. While MTL is not expected to store the boat for free, the record supports a finding that the \$105.31 per day charge, imposed without notice after a year, is unreasonable.” (ID on Remand at p. 22)

- (2) The complete section of MTL’s applicable tariff which the Presiding Officer cited above in the Initial Decision Can be Found in the Appendix to Complainants’ Proposed Findings of Fact of January 15, 2016 (Document 12) at pages Bates Nos.: CX 178 – CX 179, and Reads as follows:

C. WAREHOUSE STORAGE - VEHICLES (C)

Carrier's CFS/CY may be a designated warehouse.² Shipper, at its own expense, will deliver its vehicle to the Carrier's designated warehouse for loading into the container for movement to the U.S. load port.

As part of the warehouse storage and handling of the vehicles:

(i) shipper will be entitled to 30 days free storage starting from the date of arrival of the vehicle at the warehouse in order to allow time to provide the Carrier with the vehicle title, absent which the vehicle will not be loaded into a container;

(ii) if after 30 days the title to a vehicle has not been presented by the shipper to the Carrier, the shipper has the option to either retrieve its vehicle or allow the vehicle to remain stored at the warehouse pending the Carrier's receipt of the title; and

(iii) shipper, during this 30 day free period and after, will remain liable for all applicable warehouse charges as set out in the warehouse's Vehicle Receipt and Inspection Sheet ("Vehicle Receipt") provided to shipper or its agent upon the warehouse receiving the vehicle.

With regard to paragraph C(iii) of MTL’s Tariff described above, complainants also ask the Commission to note that aside from MTL’s failure to provide the Certificate of Title, that MTL never provided the warehouse's Vehicle Receipt and Inspection Sheet.

² See, ID at p. 12, FF# 27 explaining that MTL used World Express as its CFS/CY.

Additional Examples of MTL’s Normal, Customary and Continuous Practices of Attempting to Collect Money for Services and Goods Which Were not provided to Complainants:

MTL also attempted to collect charges for the Chaparral and Monterey for services (including storage, customs clearance and unloading) that were not provided and which MTL was not lawfully entitled to collect. The Commission may recall that the ID at p. 19, (FF # 98) explains that: “On August 13, 2014 Solovyev (RFG) sent an invoice to Crocus Investment for...\$800.00 for thirty-two days storage of the Chaparral, and \$800.00 for thirty-two days storage of the Monterey. (CX107)”. That invoice (Bates No.: CX107), a copy of which is annexed hereto as Appendix “1” has the following itemized charges which total the sum of \$5,500.00 and which were also the subject of the Court’s Opinion of August 28, 2020, in the matter of World Express, supra, which is discussed below. The charges in the invoice (which is RFG Invoice # 6642134) are as follows:

Quantity	Description	Rate	Amount
1	PORT FEE CONTAINER#TRLU6642134	750.00	750.00
1	CUSTOM CLEARANCE	1200.00	1200.00
1	DELIVERY&UNLOADING/DOCUMENTATION/TRACKING/RETURN EMPTY BACK	1250.00	1250.00
2	DELIVERY TO THE STORAGE LOT/PUT TOGETHER TRAILER & BOAT	350.00	700.00
32	STORAGE 2008 CHAPARRAL BOAT V#38D808	25.00	800.00
32	STORAGE 2011 MONTEREY BOAT V#931011	25.00	800.00
TOTAL			\$5,500.00

As to the sum of \$5,500.00 in said invoice, in the Federal Court matter of World Express, supra, World Express’ breach of contract claims against complainants herein where World Express sought to collect storage charges (which are the same storage charges that MTL attempted to collect directly from complainants) were dismissed in that litigation. Specifically, on August 28, 2020, in the matter of World Express, supra, the Honorable Judge Kevin McNulty

issued an Opinion on the parties' Cross-Motions for Summary Judgment wherein the Court granted Summary Judgment in favor of complainants herein and dismissed World Express' claims regarding charges and fees for the Monterey, Chaparral and Formula in the invoice in the sum of \$5500.00, explaining as follows:

“...[i]n Count 1 of the Complaint, World Express seeks to recover two different fees: (1) \$5,500 “for payment made by MTL of the custom clearance and unloading of the 2008 Chaparral boat and 2011 Monterey boat and transport of the two boats to WEC”; and (2) storage fees for the Formula boat. World Express asserts causes of action for common law bailment, quantum meruit, and/or breach of contract....

...World Express concedes that it did not provide services to support the \$5,500 allegation in the Complaint and therefore did not reimburse Marine Transport for \$5,500 associated with the boats...

...there is no material dispute concerning this \$5,500 set of fees and I will dismiss Count 1 insofar as it seeks to recover \$5,500 from Defendants in connection with the Chaparral and Monterey boats. Second, the Complaint seeks approximately \$110,000 in unpaid storage fees associated with the Formula boat...

...To the extent that this action is one for breach of contract, then, I will grant summary judgment to Defendants. There is no evidence establishing that, prior to accepting the Formula boat into its warehouse, World Express arrived at any agreement with Defendants to store the Formula boat, or establishing the charges therefor...

... Accordingly, to the extent Count 1 seeks to recover approximately \$110,000 in unpaid storage fees under a breach of contract theory of liability, that claim is dismissed.”

A complete copy of the Court's Opinion of August 28, 2020 is annexed hereto as Appendix “2” and the Commission is respectfully referred to pp. 20-26 thereof.

MTL's Failure To Notify Complainants That Storage Charges Had Allegedly Accrued For The Formula Are A Further Example Of Its Failure To Observe Just And Reasonable Practices Connected With The Handling, Storing, And Delivering Of Cargo, Which Occurred On A Normal, Customary And Continuous Basis

After World Express allegedly placed MTL on notice that storage charges were allegedly due and owing for the Formula, MTL simply sat on its hands between February 14, 2014 and August 13, 2014 and did nothing, failing to notify complainants that storage charges had allegedly accrued and were continuing to accrue:

- (1) On February 15, 2014, WEC issued Invoice 50677-1 for the Formula to MTL (for storage fees starting on August 12, 2013 and ending on February 14, 2014 in the amount \$19,587.66 plus unloading in the amount \$550.00, for a total of 20,137.66 (See, Appendix To Complainants' Additional Proposed Findings of Fact and Brief, filed on September 27, 2017, at Appendix "C" at document bates numbered RESP 012). This invoice was paid by MTL on February 18, 2014 (See, Respondents' Response to Complainants' Proposed Finding of Fact # 31) (Documents 12 and 13).

It was MTL's Normal, Customary and Continuous Practice to Regularly Fail to Follow Shipping Instructions from the Shipper

- (1) MTL did not follow requests from the Shipper to release the Formula and boat trailer. (ID at p. 5)
- (2) MTL did not follow requests from Shipper to release the Chaparral and Monterey. (ID at p. 6 citing FF#'s 93-99)
- (3) MTL did not follow instructions of Shipper of the Mercedes and Porsche and rather took instructions for another person with no interest in this cargo. Specifically, Solovyev shipped two automobiles a Mercedes and a Porsche, to Middle East Asia for sale in Dubai for another customer. Solovyev did not own these cars. (RX 62 (Dep. Of Safonov 22-23).) (FF# 101, ID at p.19).

It was MTL's Normal, Customary and Continuous Practice to Regularly Overcharge Complainants

- (1) On August 13, 2013, Crocus FZE made a wire transfer of \$5,000.00, Fed Wire Out 028409, Reference Number W028409 0813 for the Formula. (FF# 82, ID at p.17).
- (2) MTL delivered the Formula to its warehouse for export. While RFG paid Light House Transport \$2,230.00 for delivery, it invoiced complainants \$3,500 for the delivery. The difference between these two amounts and the overcharge from RFG and MTL is \$1270.00. (See, Complainants' Remand Brief, dated September 27, 2019 at p.13, Fn. 7).

While MTL collected and retained in escrow monies for Ocean Freight which complainants paid to MTL with regard to the subject Formula, MTL nevertheless continued to overcharge complainants at each and every opportunity with regard to each and every transaction related to this boat, for example, by using a fake Copart auto auction invoice to overcharge complainants for the purchase of the boat. The Initial Decision explains that on August 7, 2013, Car Express purchased a 2010 Formula boat 34PC, VIN TNRD7870C010, for Safonov for a total of \$56,280. (FF# 74, ID at p.16). As explained below, while MTL held complainants' monies in escrow from other overcharges, it nevertheless overcharged for the purchase of this boat since the boat was actually discovered to have cost \$53,685.00 (after Copart provided the real invoice in its subpoena response) and it was discovered that MTL schemed the sum of \$2,595.00 as an overcharge for this purchase. MTL similarly used fake Copart invoices to overcharge complainants for the purchase of the Monterey and Chaparral. This overwhelmingly establishes that it was MTL's regular custom and practice to steal, lie, and defraud its clients at each and every step of the shipping process.

- (1) MTL maintained a credit on complainants' behalf (due to overpayment by complainants) in the sum of \$15,207 US Dollars which is described in detail on pp. 41-45 of Complainants' Remand Brief:
- (2) With respect to the subject Formula, Monterey and Chaparral, (See, CX118 at ID p. 16, FF# 74) the Copart invoices produced by respondents during discovery herein and used by respondents during the shipping process are fake, and not part of Copart's business records - - this was confirmed by Copart in response to a Subpoena issued to Copart in the matter of World Express, *supra*. (See, Complainants' Second Petition to Reopen the Proceedings filed as Document # 50, on this Docket on September 27, 2017, at p. 19, citing to Appendix to Complainants' Status Report of September 6, 2017 in the Matter of MAVL Capital Inc., et al, v. Marine Transport Logistics, et al. FMC Docket No.: 16-16).
- (3) On the issue of respondents' practice of overbilling complainants with inflated invoices, in ID the ALJ explains as to the invoice bates numbered CX118 (referenced in the ID at p. 16, FF# 74) explains that "...Car Express purchased a 2010 Formula...for Safonov for a total of \$56,280.00". The record, however, demonstrates that Car Express actually purchased the Formula for a total of \$53,685.00. See, Complainants' Second Petition to Reopen the Proceedings filed

as Document # 50, on this Docket on September 27, 2017, at p. 18 (explaining that respondents' production of fake invoices from the online auto auction warehouse known as 'Copart' while respondents engaged in OTI activity is the subject of extensive briefing to the Commission, and citing to Complainants' Status Report of September 6, 2017 in the matter of MAVL, *supra*, which can be found as Document # 32 in FMC Docket No.: 16-16). The Appendix to Complainants' Status Report of September 6, 2017 in the matter of MAVL, *supra*, contains a true and accurate copy of the invoice for the sale of the Formula from the auto auction warehouse known as 'Copart', which has been bates numbered DEF0012.

- (4) On August 15, 2013, RFG paid MTL on behalf of complainants the sum of \$8,400 by check number 5135 for loading and shipping the Formula to Dubai.³ A copy of this check (annexed to the Appendix To Complainants' Additional Proposed Findings of Fact and Brief, filed on September 27, 2017, at Appendix "A") was produced in response to a subpoena issued to Citibank in the matter of World Express, *supra*.

It Was MTL's Normal, Customary And Continuous Practice To Keep Complainants In The Dark Regarding Finances And Refuse To Provide Statements Of Account To Complainants With Regard To Complainants' Monies Which MTL Held In Escrow And Allegedly Applied To Shipping Related Expenses Such As Ocean Freight And Storage Charges

As to respondents' regular, customary, and continuous practice of keeping complainants in the dark regarding finances and refusing to provide statements of account to complainants with regard to complainants' monies which MTL held in escrow and allegedly applied to shipping related expenses such as ocean freight and storage charges, these findings of fact were set forth in Complainants' Remand Brief. Specifically, as to the \$15,207.00 of complainants' monies which MTL held in escrow and simply kept (never providing records indicating how said monies were ever applied by MTL to Ocean Freight allegedly due and owing) the Commission is

³ The Commission is respectfully asked to note that RFG's payment of \$8,400 to MTL for loading and shipping the Formula to Dubai, was made only one day after RFG paid for the delivery of the Formula from the Copart auto auction site to MTL's facility at the port of New Jersey. Specifically, RFG paid Light House Transport the sum of \$2,230.00 via check number 5133 on August 14, 2013 (See, Complainants' Remand Brief at p. 33, Fn. 21). The Commission is also asked to note that while RFG paid Light House Transport the sum of \$2,230.00 for delivery, it invoiced complainants \$3,500 for the delivery. *Id.* Additionally, four (4) days after the Formula was unloaded at WEC's warehouse (See WEC Invoice # 50677-1, dated 2/14/14, bates numbered "RESP 012" which was annexed as Appendix "C" to Complainant's Additional Proposed Findings of Fact and Brief and Appendix in Support of Complainants' Second Petition to Reopen the Proceedings filed on September 27, 2017 which can be found on this Docket as Document 51), the check of \$8,400 paid to MTL states in the Memo Line "Andrey/Dubai". (See, Appendix to Complainants' Additional Proposed Findings of Fact and Brief, filed on this Docket on September 27, 2017 at Appendix "A").

respectfully directed to Complainants' Remand Brief at FF# 13 on page 15, FF# 26 on page 22, FF# 45 on page 25 and pages 31, 41, 42 at Footnote 30, pp. 43-45, all of which establish that MTL has no records indicating that the credit of \$15,207.00 was ever applied by MTL to Ocean Freight allegedly due and owing by complainants. MTL simply kept this money in the same manner in which it has done in other matters which are currently the subject of litigation before the Commission such as in the matter of Nnabugwu Chinedu Andrew, et al. v. Marine Transport Logistics, Inc., et al., FMC Docket No.: 20-12.

Additionally, and as set forth above, while MTL charged complainants \$5000.00 for other related costs for the Formula (\$4500 for a boat trailer which Solovyev said was needed in order to export the Formula, and which MTL never purchased, and \$500 for the preparation of "shipping documents" which MTL never prepared), at all times, MTL never provided complainants with a statement of account for these monies. When MTL collected monies from complainants from complainants for ***a second time for the trailer for the Formula***, MTL did not provide a statement of account nor did it inform complainants what happened to the \$4500.00 previously collected for the Formula. At the time that complainants instructed MTL to release the Formula (which MTL refused to do), MTL failed at that time to provide complainants with a statement of account, and rather, for the first time in over a year, MTL provided complainants with a bill for 369 days of storage.

As to MTL's normal, customary and continuous practice to keep its customers in the dark regarding statements of account (and refusing to provide invoices allegedly indicating monies due and owing) until such time that MTL is positioned to confiscate, lien, or otherwise assume ownership of its customers' cargo for failure to pay storage or other charges, this Commission is also well familiar with the matter of MAVL Capital Inc., et al, v. Marine Transport Logistics, et al. FMC Docket No.: 16-16. The Complaint filed in that matter on August 5, 2016 similarly

alleges on page “8” thereof that MTL violated section 41102(c) of the Shipping Act by, among other things, failing to provide complainants with invoices. As the Commission is aware, after ALJ Guthridge, in error, *sua sponte* dismissed complainants’ claims with regard to various cargo, on October 29, 2020, the Commission issued a Memorandum Opinion and Order on complainants’ Exceptions and remanded complainants’ section 41102(c) claim regarding the complainants’ Mercedes for further proceedings.

We simply ask the Commission to note that pursuant to ALJ Wirth’s Remand Scheduling Order of December 10, 2020, the issue of MTL’s refusal and failure to provide invoices and statements of account are currently the subject of discovery in that matter. MTL has been ordered to produce itemized invoices for storage of the Mercedes and Porsche and proof that the invoices were actually provided to Complainants; and all documents, emails, writings, notes, receipts, correspondence and the like identifying, indicating, or otherwise demonstrating the manner in which MTL issued and provided any MTL itemized invoices for warehouse storage to Complainants.

The Unjust and Unreasonable Acts by MTL Did Occur on a Normal, Customary, and Continuous Basis

It is respectfully submitted that the numerous examples of MTL’s various unjust and unreasonable acts described above are sufficient to demonstrate that MTL’s violations of Section 41102(c) of the Shipping were not limited to a single incident. As to the routine practices of MTL as described herein, the Commission is respectfully asked to note that the record herein demonstrates that it has been, and continues to be the business model of MTL, on a normal, customary, and continuous basis to fail to observe just and reasonable practices connected with the handling, storing, and delivering of cargo.

That business model extends far past the handling, storing, and delivering of complainants' cargo in this matter, and MTL's past activity with regard to other shippers (such as the complainants in the matter of MAVL, *supra*) is also set forth in detail in the two other FMC proceedings discussed in complainants' Remand Brief and which are, to wit: Best Way USA, Inc. v. Marine Transport Logistics (FMC Informal Docket No.: 1901[I]) and Samir Abusetta et al. v. JAX Auto Shipping Inc. and Marine Transport Logistics, Inc. (FMC Informal Docket No.: 1932[I]). (We note that while MTL was not found to have-violated the Shipping Act in Samir, *supra*, that in the matter at bar, MTL is charged with the knowledge that storage charges were accruing with regard to the Formula and failed to notify complainants, as did JAX Auto Shipping Inc. in Samir, *supra*.) While these matters were discussed in detail in the Remand Brief, the Presiding Officer, in error, misapprehended the arguments which complainants proffered as to the import of these cases in demonstrating MTL's past history of violating the Shipping Act on a regular, customary, and continuous basis, which continues to this day.

The Presiding Officer discusses Best Way, *supra*, and Samir, *supra*, on pp. 19-21 of the ID on Remand in the context of complainants' burden to establish that the unjust and unreasonable acts in question occurred on a normal, customary, and continuous basis. As to Best Way, the Presiding Officer finds that matter inapplicable and distinguishable, explaining that while MTL was found to have violated 41102(c) in that matter, the Best Way decision was issued prior to the 41102(c) Interpretive Rule, and because the Decision preceded the interpretive rule, the decision does not suggest that this was part of MTL's business model or that it occurred on a normal, customary, and continuous basis.

In the first instance, complainants respectfully submit that the point and intent of bringing Best Way to the Commission's attention was to illustrate that the fact that a violation of the Shipping Act was found to have occurred in that matter, and that MTL's 41102(c) violation in

Best Way can be considered “in the big picture” together with violations that have occurred in other matters, such as the one at bar. In other words, if the Commission were to analyze each and every single FMC proceeding in a vacuum without considering facts on the record in other FMC proceedings involving the same parties, it is possible to never find a pattern of unreasonable behavior occurring on a normal, customary, and continuous basis. Analyzing each case in a vacuum without considering violations found to have occurred in other FMC proceedings would simply reward MTL and runs contrary to the intent of the interpretive rule.

Additionally, and with regard to the Interpretive Rule itself, this Commission is well aware that the Rule was issued on December 17, 2018, and that all of MTL’s acts complained of herein were committed prior to the issuance of the Rule. This Commission is well aware that pursuant to the Federal Administrative Procedure Act, the rules created by administrative agencies should only possess a prospective effect. Accordingly, and since the Presiding Officer, in error, applied the Interpretive Rule retroactively to MTL’s activity complained herein, that MTL was effectively rewarded for its behavior when complainants were required to establish that MTL’s unreasonable acts in question occurred on a normal, customary, and continuous basis.

As to Samir, *supra*, the Presiding Officer, in error, found that matter inapplicable and distinguishable, explaining that: 1) the case was also decided prior the issuance of the Interpretive Rule (which complainants have already addressed above); and 2) that in that case, the complainants hired Jax Auto Shipping to ship the cargo, and *not* MTL. It is respectfully submitted that the Presiding Officer misapprehended the point and intent of bringing that matter to her attention, which was to illustrate that in the matter at bar, *MTL is Jax*.

In the same manner in which Jax was charged with the knowledge that storage fees were accruing and failed to inform their customer that this was happening, in the matter at bar, MTL is similarly charged with that knowledge and failed to inform complainants that storage charges had accrued with regard to the pleasure boats - - this was the point. We add briefly that since MTL was aware of the Commission's decision in that matter regarding Jax's responsibility to inform its client about the accrual of charges, that not only MTL should have known better than to do that here, but that MTL knew exactly what it was doing in the matter at bar.

B. THE ALJ ERRONEOUSLY MISCALCULATED THE COMPLAINANTS' DAMAGES PROXIMATELY CAUSED BY RESPONDENTS VIOLATIONS OF SECTION 41102(C) OF THE SHIPPING ACT

While the Presiding Officer limited this loss to the amount paid for the Formula boat (\$59,780) and its trailer (\$4950), the Presiding Officer overlooked the additional damages proximately caused by respondents' violation of 46 U.S.C. § 41102(c), including: a) the sum of \$15,207.00 in monies belonging to complainants and held by MTL in escrow for ocean freight (which MTL never returned and never provided a statement of account indicating the disposition of same); b) the sum of \$8,400 which RFG paid to MTL on behalf of Complainants by check No.: 5135 on August 15, 2013; c) the sum of \$5000.00 for other related costs for the Formula (\$4500 for a boat trailer which Solovyev said was needed in order to export the Formula, and which MTL never purchased, and \$500 for the preparation of "shipping documents" which MTL never prepared); and d) overcharges to complainants for inland delivery of the Formula in the sum of \$1270.00.⁴

⁴ As set forth above in this brief, the Initial Decision explains that on August 7, 2013, Car Express purchased a 2010 Formula boat 34PC, VIN TNRD7870C010, for Safonov for a total of \$56,280. (FF# 74, ID at p.16). As explained herein, while MTL held complainants' monies in escrow from other overcharges, it nevertheless overcharged for the purchase of this boat since the boat was actually discovered to have cost \$53,685.00 and MTL schemed the sum of \$2,595.00 as an overcharge for this purchase.

C. ADDITIONAL POINTS FOR THE COMMISSION'S CONSIDERATION

MTL's failure to forward the monies held by it in escrow to complainants and its further multiple failures to perform OTI services despite having been paid for them is a violation of the Shipping Act. See, e.g., Alexandre Kaminski v. Keystone Limited, (6/23/93, FMC) Informal Docket No. 1739(I) (shipping company that collected money from customer but failed to provide any services in return violated former 46 USCS Appx § 1709[d][1]). See, also, Informal Docket No. 1721(I), Jonny and Adriana Bossle v. Keystone Limited, slip decision served March 8, 1993, administratively final April 14, 1993.

To date, MTL has still failed to offer any reasonable explanation as to why, after allegedly having met its responsibility to find a suitable boat trailer (which it claims it did), why MTL retained possession of the Formula and did not export it between December 4, 2013 and February 14, 2014. This was approximately 72 days of MTL sitting on its hands and allowing storage charges to accrue. MTL failed and refused to follow instructions from complainants to release the Monterey and Chaparral.

CONCLUSION

In closing, complainants respectfully request that the Commission consider the above described repeated violations of the Shipping Act during the course of respondents' business dealings with complainants and the ongoing nature of some of these violations, together with the facts that demonstrate that these violations occurred on a normal, customary, and continuous basis.

The Commission is asked to take note of respondents' normal, customary and continuous practice (while dealing with complainants herein, and others) of MTL's refusal and failure at all relevant times to: a) follow the instructions of complainants regarding export of the Formula (even though MTL claims to have allegedly purchased the trailer for the Formula in or about

November of 2013); b) provide complainants with a Bill of Sale for the Formula; c) procure and provide a Certificate of Title for the Formula (which MTL was responsible for doing inasmuch as it sold the Formula to complainants for export); d) provide statements of account to complainants; e) communicate with complainants regarding the balance of complainants' monies held in escrow as applicable to any alleged charges due and owing for the Formula; f) follow the rules and regulation as governed by MTL's own Tariff on the issue of storage charges allegedly due and owing for the Formula; and g) fulfill their responsibility to procure and provide a Certificate of Title for the boat trailer for the Formula so that it could be exported.

Further, MTL has been exposed on multiple occasions for: a) creating and presenting to its customer's falsified documents used for export, such as fake auto auction invoices and a fake Certificate of Title for the Formula; b) overbilling complainants for the purchase of the Formula and for inland delivery of the Formula to MTL's warehouse in preparation for export; c) overbilling complainants for the storage of the Monterey and Chaparral; and d) charging complainants and collecting monies from complainants for services which were never provided to complainants (including the purchase of the boat trailer for the Formula and "preparation of shipping documents")

Consequently, and in light of respondents' repeated violations of the Shipping Act and the ongoing nature of some of these allegations it is respectfully requested that the Commission consider the foregoing, reverse the ID on Remand, and grant complainants such other and further relief as may be just and proper under the circumstances.

WHEREFORE, for the reasons set forth above, Complainants request that the Commission reverse the challenged findings of the Initial Decision on Remand in this proceeding, and adopt Complainants' recommended findings and analysis as set forth herein and in Attachment "A".

Dated: December 31, 2020
Brooklyn, New York

Respectfully Submitted,

/s/ Marcus Aurelius Nussbaum
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ATTACHMENT “A”

ATTACHMENT A
COMPLAINANT'S EXCEPTIONS TO INITIAL DECISION ON REMAND

- I. The Initial Decision on Remand (“ID on Remand”) is in error because it gives the sense of advocacy on the part of the ALJ rather than impartial even-handed adjudication which is required by the Administrative Procedure Act; among its many shortcomings, the ID on Remand is arbitrary and capricious; it makes ultimate conclusions of fact which do not rationally flow from the Findings of Fact; it blatantly fails to consider at all evidence in the record on central issues; in some instances, the ID on Remand reaches conclusions of fact on key issues with no factual support whatsoever in the record. Furthermore, the ID on Remand blatantly and repeatedly ignores established Federal Maritime Commission regulations and law in its legal conclusions.
- II. The ID on Remand is in error because it completely ignores or gives little regard to the material evidence and arguments posited by complainants as to complainants having met their burden to demonstrate that the unjust and unreasonable acts by MTL occurred on a normal, customary, and continuous basis.
- III. The ID on Remand is in error because it completely ignores or gives little regard to the evidence establishing that it was respondents’ normal, customary and continuous practice (while dealing with complainants herein, and others) to refuse and fail at all relevant times to:
 - a) follow the instructions of complainants regarding export of the Formula (even though MTL claims to have allegedly purchased the trailer for the Formula in or about November of 2013);
 - b) provide complainants with a Bill of Sale for the Formula;
 - c) procure and provide a Certificate of Title for the Formula (which MTL was responsible for doing inasmuch as it sold the Formula to complainants for export);
 - d) provide statements of account to complainants;
 - e) communicate with complainants regarding the balance of complainants’ monies held in escrow as applicable to any alleged charges due and owing for the Formula;
 - f) follow the rules and regulation as governed by MTL’s own Tariff on the issue of storage charges allegedly due and owing for the Formula; and
 - g) fulfill their responsibility to procure and provide a Certificate of Title for the boat trailer for the Formula so that it could be exported.
- IV. The ID on Remand is in error because it completely ignores or gives little regard to the evidence establishing that MTL has been exposed on multiple occasions for:
 - a) creating and presenting to its customer’s falsified documents used for export, such as fake auto auction invoices and a fake Certificate of Title for the Formula;
 - b) overbilling complainants for the

purchase of the Formula and for inland delivery of the Formula to MTL's warehouse in preparation for export; c) overbilling complainants for the storage of the Monterey and Chaparral; and d) charging complainants and collecting monies from complainants for services which were never provided to complainants (including the purchase of the boat trailer for the Formula and "preparation of shipping documents") - - all of which occurred against the backdrop of respondent Solovyev's criminal history, of which this Commission has been fully briefed on multiple occasions.

- V. The ID on Remand is in error because it sets a precedent allowing an NVOCC or OFF to effectively "sit on their hands" and not perform their duties for an indefinite time period in that *after* the complainants decided that respondents were "crooks", complainants decided to reroute their cargo to Florida.
- VI. The ID is in error in that it ignored evidence that Solovyev Did Not Obtain Title to the Formula until Two (2) Years after He Allegedly Undertook Responsibility to Export the Boat to Dubai.
- VII. The ID is in error in that it ignores evidence that respondents overcharged complainants various fees with respect to the subject boats in violation of the Shipping Act.